

1 ENGROSSED HOUSE
JOINT
2 RESOLUTION NO. 1077

By: Caldwell (Trey), Kane,
Hill, Moore, Sterling,
Manger, and Pae of the
House

and

Hall of the Senate

7 A Joint Resolution directing the Secretary of State
to refer to the people for their approval or
8 rejection a proposed amendment to Section 40 of
Article X of the Constitution of the State of
9 Oklahoma; allowing deposits of assets, stock, and
other equity investments to the Tobacco Settlement
10 Endowment Trust; modifying deposit methodology for
future settlement proceeds; eliminating the Board of
11 Directors of the Tobacco Settlement Endowment Trust
and all such duties; requiring the Board of Investors
12 of the Tobacco Settlement Endowment Trust to annually
distribute earnings to the benefit of the Trust, the
13 Oklahoma Higher Learning Access Act, and the
Education Reform Revolving Fund under certain
14 distribution methodology; providing ballot title; and
directing filing.

17 BE IT RESOLVED BY THE HOUSE OF REPRESENTATIVES AND THE SENATE OF THE
18 2ND SESSION OF THE 60TH OKLAHOMA LEGISLATURE:

19 SECTION 1. The Secretary of State shall refer to the people for
20 their approval or rejection, as and in the manner provided by law,
21 the following proposed amendment to Section 40 of Title X of the
22 Constitution of the State of Oklahoma to read as follows:

23 SECTION 40. A. There is hereby created a trust fund to be
24 known as the "Tobacco Settlement Endowment Trust Fund". The trust

1 fund principal shall consist of the portion of monies which are
2 received by the State of Oklahoma on or after July 1, 2001, pursuant
3 to any settlement with or judgment against any tobacco company or
4 companies as provided by subsection B of this section, and any other
5 monies, real property assets, stock, and other equity investments
6 that may be appropriated or otherwise directed to the trust fund by
7 the Legislature or this Constitution.

8 B. 1. Deposits into the trust fund from monies which are
9 received by the State of Oklahoma pursuant to any settlement with or
10 judgment against any tobacco company or companies shall be based on
11 the following schedule:

Fiscal Year	Minimum Percentage of Payments
Ending June 30, 2002	50%
Ending June 30, 2003	55%
Ending June 30, 2004	60%
Ending June 30, 2005	65%
Ending June 30, 2006	70%
Ending June 30, 2007	75%

20 2. Deposits into the trust fund in subsequent fiscal years
21 shall never be less than ~~seventy-five percent (75%)~~ thirty-seven and
22 five-tenths percent (37.5%) of the payments.

23 3. The monies received by the State of Oklahoma pursuant to any
24 settlement with or judgment against any tobacco company or companies

1 after June 30, 2001, not deposited into the trust fund as provided
2 in this section, shall be deposited as follows:

3 a. thirty-seven and five-tenths percent (37.5%) of monies
4 received to the TSET Legacy Effort Revolving Fund of
5 the State Treasury, and

6 b. twenty-five percent (25%) of monies received into a
7 special fund established by the Legislature solely for
8 the purpose of receiving the payments; provided, the
9 Legislature may, by law, direct a certain portion of
10 such monies to the Office of the Attorney General.
11 The special fund shall be subject to legislative
12 appropriations.

13 C. There is hereby created the Board of Investors of the
14 Tobacco Settlement Endowment Trust Fund. The Board of Investors
15 shall have the duty of investing, managing, and administering
16 monies, real property assets, stock, and other equity investments in
17 the trust fund, subject to restrictions and limitations provided by
18 law for and in accordance with laws applicable to the investment of
19 monies in state retirement funds.

20 The Board of Investors shall consist of five (5) members as
21 follows:

- 22 1. The State Treasurer who shall be the chair;
- 23 2. An appointee of the Governor;
- 24 3. An appointee of the Speaker of the House of Representatives;

1 4. An appointee of the President Pro Tempore of the Senate; and

2 5. An appointee of the State Auditor and Inspector.

3 The initial appointees shall serve staggered terms of office as
4 provided for by law. Thereafter, appointees shall serve four-year
5 terms of office. No more than two appointees shall be appointed
6 from any single congressional district. All appointed members shall
7 have demonstrated expertise in public or private investment funds
8 management.

9 ~~D. There is hereby created the Board of Directors of the~~
10 ~~Tobacco Settlement Endowment Trust Fund. The Board of Directors~~
11 ~~shall consist of seven (7) members, one appointed by each of the~~
12 ~~following appointing authorities:~~

13 ~~1. The Governor;~~

14 ~~2. The President Pro Tempore of the Senate;~~

15 ~~3. The Speaker of the House of Representatives;~~

16 ~~4. The Attorney General;~~

17 ~~5. The State Treasurer;~~

18 ~~6. The State Auditor and Inspector; and~~

19 ~~7. The State Superintendent of Public instruction.~~

20 ~~The initial appointed members shall serve staggered terms of~~
21 ~~office as provided for by law. Thereafter, the appointed members of~~
22 ~~the Board of Directors shall serve seven-year terms of office. At~~
23 ~~least one appointee shall be appointed from each congressional~~
24 ~~district, and not more than two appointees shall be appointed from~~

~~any single congressional district. Not more than four appointees shall be members of the same political party. An appointee shall have been a member of the political party to which the appointee belongs for at least one (1) year prior to the date of appointment. Appointees shall have demonstrated expertise in public or private health care or programs related to or for the benefit of children or senior adults.~~

~~The Board of Directors shall meet at least one time each calendar quarter.~~

~~E.~~ Earnings from the trust fund, including but not limited to interest, dividends, and realized capital gains from investments of the trust fund shall be ~~expended~~ transferred as provided in subsection ~~F~~ E of this section ~~for the following purposes:~~

~~1. Clinical and basic research and treatment efforts in Oklahoma for the purpose of enhancing efforts to prevent and combat cancer and other tobacco-related diseases;~~

~~2. Cost-effective tobacco prevention and cessation programs;~~

~~3. Programs other than those specified in paragraph 1 of this subsection designed to maintain or improve the health of Oklahomans or to enhance the provision of health care services to Oklahomans, with particular emphasis on such programs for children;~~

~~4. Programs and services for the benefit of the children of Oklahoma, with particular emphasis on common and higher education, before and after school and pre-school programs, substance abuse~~

~~prevention and treatment programs and other programs and services
designed to improve the health and quality of life of children;~~

~~5. Programs designed to enhance the health and well-being of
senior adults; and~~

~~6. Authorized administrative expenses of the Office of the
State Treasurer and the Board of Directors.~~

~~F. E. Each fiscal year, the Board of Directors may expend
Investors shall distribute the amount of earnings which actually
accrued to the trust fund during the preceding fiscal year, to the
funds described and in the manner prescribed in subsection F of this
section. Any amount not so expended shall remain in the trust fund.
The Board shall direct specific expenditures to be made for the
purposes specified in subsection E of this section.~~

F. Earnings as described in subsection D of this section shall
be distributed in priority as follows:

1. Twenty percent (20%) shall be retained by the trust fund as
principal;

2. The additional amount estimated annually by the Oklahoma
State Regents of Higher Education, necessary to fully fund awards
allowed pursuant to the Oklahoma Higher Learning Access Act, for the
fiscal year which begins the following July 1, or all remaining
earnings available for distribution if the entire amount of estimate
is not available for distribution, to the State Regents of Higher

1 Education for the support of the Oklahoma Higher Learning Access
2 Act; and

3 3. All remaining funds after the distributions described in
4 paragraphs 1 and 2 of this subsection have been made, if any, to the
5 Education Reform Revolving Fund of the State Treasury.

6 G. The Legislature may enact laws to further implement the
7 provisions of this section.

8 SECTION 2. The Ballot Title for the proposed Constitutional
9 amendment as set forth in SECTION 1 of this resolution shall be in
10 the following form:

11 BALLOT TITLE

12 Legislative Referendum No. _____ State Question No. _____

13 THE GIST OF THE PROPOSITION IS AS FOLLOWS:

14 This measure amends the Oklahoma Constitution. It amends
15 Section 40 of Article 10. This measure would authorize real
16 property assets, stock, and other equity investments, in
17 addition to monies, be added to the Tobacco Settlement Endowment
18 Trust. This measure reduces from 75% to 37.5% the amount of
19 future tobacco settlement proceeds to be deposited into the
20 Tobacco Settlement Endowment Trust Fund, and directs 37.5% of
21 such settlement proceeds to the TSET Legacy Effort Revolving
22 Fund. This measure would eliminate the Board of Directors of
23 the Tobacco Settlement Endowment Trust Fund and its related
24 duties associated with administering and distributing earnings

1 from the Tobacco Settlement Endowment Trust. The measure would
2 require the Board of Investors of the Tobacco Settlement
3 Endowment Trust to annually distribute Trust earnings of twenty
4 percent back into the Trust, and then use remaining earnings to
5 fund awards of the Oklahoma Higher Learning Access Act, also
6 known as Oklahoma's Promise Scholarships, and subsequently
7 distribute remaining earnings to the Education Reform Revolving
8 Fund of the State Treasury, also known as the 1017 Fund.

9 SHALL THE PROPOSAL BE APPROVED?

10 FOR THE PROPOSAL — YES _____

11 AGAINST THE PROPOSAL — NO _____

12 SECTION 3. The Chief Clerk of the House of Representatives,
13 immediately after the passage of this resolution, shall prepare and
14 file one copy thereof, including the Ballot Title set forth in
15 SECTION 2 hereof, with the Secretary of State and one copy with the
16 Attorney General.

1 Passed the House of Representatives the 25th day of March, 2026.

2
3 _____
4 Presiding Officer of the House
5 of Representatives

6 Passed the Senate the ____ day of _____, 2026.

7
8 _____
9 Presiding Officer of the Senate